

Company Risk Scoring

Problem

Companies often struggle to identify potential risks in their inbound B2B invoice flows, such as high amendment rates, vendor concentration, or invoice failures, leading to financial inefficiencies and compliance risk.

Target

CFO/Group Controller, Finance Ops, Risk Management

They need a simple way to prioritize which vendors or company processes require immediate attention.

Why Credible

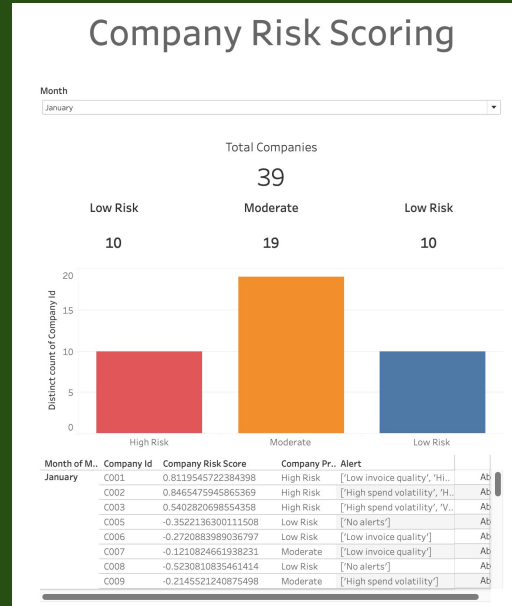
- Based on: Payment delay acceleration, Invoice volume contraction, Approval tightening, Vendor dependency concentration
- Alerts are directly tied to observed deviations in key metrics (e.g., hard failure rate, volatility, vendor concentration).

Output (API + Monitoring Table & Dashboard)

- Company Risk Score
- Risk Profile
- Alerts

```
{
  "company_id": "C039",
  "month_key": "2025-01-01",
  "company_risk_score": 0.9026765368631159,
  "company_profile": "High Risk",
  "alert": [
    "Low invoice quality",
    "High spend volatility",
    "High friction",
    "Vendor concentration risk"
  ]
}
```

Company ID	Month	Risk Score	Profile	Alerts
1	2025-05-01	0.05	Moderate	No alerts
2	2025-05-01	-0.68	Low Risk	No alerts
3	2025-05-01	0.68	High Risk	High spend volatility, Low invoice quality



Limitations:

- No predictive outcomes (e.g., default or payment delay).
- Only uses available invoice metrics; other risk signals not included.
- Alerts currently simple threshold-based; may generate false positives in small datasets.

Next Steps:

- Deploy as API for real-time monthly scoring.
- Integrate with ERP or vendor management systems for automated monitoring.
- Expand metrics to include payment terms, historical defaults, or external risk signals.
- Refine alert thresholds with historical outcomes for higher accuracy.